FOREIGN INVESTMENT IN REAL PROPERTY TAX ACT ("FIRPTA") ADDENDUM

ADDENDUM dated__________________________________ to Contract of Sale between

Buyer ____

and Seller____

for Property known as ____

Section 1445 of the United States Internal Revenue Code of 1986, otherwise known as FIRPTA, provides that a Buyer of residential real property located in the United States must withhold federal income taxes from the payment of the purchase price if (a) the amount realized by the Seller exceeds Three Hundred Thousand Dollars ($300,000.00) and (b) the seller is a foreign person.

If the amount realized by the Seller is **equal to or below** Three Hundred Thousand Dollars ($300,000.00) or if the Seller is **not** a foreign person, the FIRPTA regulations do not apply, and it is not necessary to execute this FIRPTA Addendum.

The following provisions are included in and supersede any conflicting language in the Contract of Sale.

1. **SELLER DISCLOSURE.** Seller represents that Seller is a non-resident alien, foreign corporation, foreign partnership, foreign trust or foreign estate.

2. **FIRPTA EXEMPTION CERTIFICATE.** Under the Internal Revenue Code, if Seller is a foreign person or entity (non-resident alien, corporation, partnership, trust or estate), Buyer must generally withhold a specified percentage of the "amount realized" (typically the Purchase Price) by Seller on the sale of the Property and forward this amount to the Internal Revenue Service ("IRS"). Such withholding may not be required if Seller obtains and provides Buyer with an <u>authorized exemption or waiver from withholding</u>. If Seller claims an authorized exemption or waiver from withholding, Seller must provide Buyer with an Exemption Certificate issued by the IRS within _________(____) days from the Date of Contract Acceptance. If Seller does not provide Buyer with the Exemption Certificate within the specified time frame, or a revised time frame agreed upon by both Buyer and Seller, Buyer will instruct the Escrow/Title company in writing to withhold the required amount. The Escrow/Title Company is hereby authorized and instructed (if notified in writing that withholding is required) to withhold the required amount at settlement and forward it to the IRS.

3. **SELLER AND BUYER ACKNOWLEDGMENTS.** (a) Seller acknowledges that the Exemption Certificate requires Seller to disclose their taxpayer identification number, social security number, or employer identification number (collectively “Number”), whichever is applicable; (b) Buyer acknowledges that the Number is absolutely confidential, and warrants that Buyer will not disclose it to any third parties, excepting only to Buyer’s tax preparer, if necessary, and if required under subpoena or court order; and, (c) Seller and Buyer understand that Brokers, their agents, subagents and employees are not experts regarding FIRPTA, and Seller and Buyer are encouraged to consult with their own legal or tax counsel well in advance of settlement, regarding their rights, duties, liabilities, and obligations under said law.

Buyer Signature **Date**	**Seller Signature** **Date**
Buyer Signature **Date**	**Seller Signature** **Date**